Wednesday, August 28, 2024

Company Report

China Merchants Securities (HK) Co., Ltd.
Hong Kong Equity Research

# Haidilao International (6862 HK)

## Outlet restructuring stresses near term earnings

- **1H miss; HDL expects a MSD% growth in FY store openings**
- **Pursuit of store quality leads to deleveraging that stresses profits**
- **Maintain HOLD; when the stock trades at -1sd below average**

## 1H miss; near term pain from quality reorientation prevails

A net 31 store closure has put HDL's 1H sales/net profits 2%/7% below our expectations. The trajectory is likely to persist, in our view, due to an over-expansion since 2021, and a faltering ASP trend (1H24: -5.3% yoy to RMB97.4 vs 1H23: RMB102.9). This is despite a recovering table turnover (1H24: 4.2x vs 1H23 3.3x) and SSSG (1H24: 14.5% vs 1H23: 12.3%), which likely kicked-in at the cost of more aggressive promotion and mix change. We now look for a 70 gross openings in 2H (11 in 1H24), and this compares to a MSD% gross openings per guidance. While we view it positively, the current strategic shift to expansion quality (from merely store count expansion) would continue to weigh on near term earnings through operation deleveraging. Out of the results, HLD's 95%-payout interim dividend (1H23: nil) looks to be the only worth-noting positive, when compared to names we suggest avoiding such as JMJ (9922HK, SELL). With valuation already trading below -1sd below long term average, we maintain HOLD.

## Key conference call takeaway

- HDL targets to expand the restaurant opening by MSD% in FY24
- July table turnover rate remained flat yoy
- More franchisee stores to be opened in 2H24

## Key 1H results datapoint

- Overall table turnover rate in 1H grew to 4.2x (vs. 3.3x in 1H23)
- ASP declined by 5.3% yoy to RMB97.4 (vs. RMB102.9 in 1H23)
- 31 HDL restaurants were net closed in 1H, bringing the total store count to 1,343 by 1H24

## Earnings change

- We adjust our 2024E estimates according to the results, and hence an 1%/8% cut in our revenue and net profits estimates.
- We cut our 2024-26E EBIT by 10-35% to reflect the deleveraging in operating costs amid a slower store expansion pace.

## Valuation and risk

- Our refreshed TP of HKD12.4 (from previously HKD14.5) is based on 15.0x mid-25E P/E (from previously 16.5x end-24E) which still represents -1sd below mean.
- **Key catalysts:** Better-than-expected table turn/SSSG/ASP. **Key risks:** higher net store closure.

## Financials

| Year ended 31 Dec (RMB mn) | 2022 | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|---|
| Revenue | 31,039 | 41,453 | 46,217 | 50,846 | 55,989 |
| *yoy* | *-24.5%* | *33.6%* | *11.5%* | *10.0%* | *10.1%* |
| Attributable net profit | 1,374 | 4,499 | 4,292 | 4,336 | 4,547 |
| *yoy* | *-133.0%* | *227.3%* | *-4.6%* | *1.0%* | *4.9%* |
| FDEPS (RMB) | 0.25 | 0.83 | 0.79 | 0.80 | 0.84 |
| P/E | 47.7x | 14.6x | 15.3x | 15.1x | 14.4x |

*Sources: Company data, CMS (HK) estimates; share price as of Aug 27, 2024*


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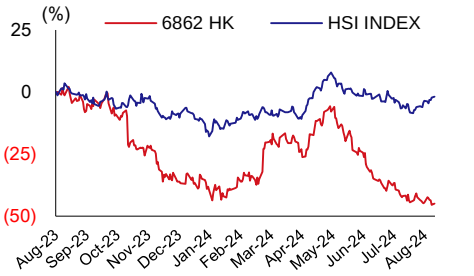

## WHAT'S NEW

1H results miss. ASP declined by 5.3% yoy. Overall table turnover rate in 1H grew to 4.2x. HDL expects a MSD% growth in FY store openings. Maintain HOLD

# HOLD

| | |
|---|---|
| Previous | HOLD |
| Price (Aug 27, 2024) | HKD12.34 |
| 12-month Target Price (Potential up/downside) | HKD12.4 (0.3%) |
| Previous | HKD 14.5 |

Price Performance




*Source: Bloomberg; share price as of Aug 27, 2024*

| % | 1m | 6m | 12m |
|---|---|---|---|
| 6862 HK | (2.5) | (16.3) | (43.2) |
| HSI | 5.0 | 6.5 | (0.5) |

| Sector: Consumer | |
|---|---|
| Hang Seng Index (Aug 27, 2024) | 17,875 |
| HSCEI (Aug 27, 2024) | 6,306 |
| **Key Data** | |
| 52-week range (HKD) | 11.42 - 22.65 |
| Market cap (HKD mn) | 68,337 |
| Avg. daily volume (mn) | 12.61 |
| BVPS (RMB) | 2.27 |
| **Shareholding Structure** | |
| ZY NP Ltd. | 32.33% |
| SYH NP Ltd. | 20.61% |
| SP NP LTD | 7.37% |
| LHY NP LTD | 6.03% |
| Others | 5,574 |
| Free float | 33.7% |

*Source: Bloomberg*

**Related Research**

1. Yum China (YUMC US/9987 HK) - 2Q surprised on cost efficiency (BUY) (Aug 6, 2024)
2. Jiumaojiu International (9922 HK) - An inflection remains unseen; D/G to SELL (SELL) (Jul 22, 2024)

## Key conference call takeaway:

- **Store opening guidance**

  The management aims to expand the restaurant openings by MSD % in FY24, mainly consistent with the previously provided guidance of a single-digit expansion rate. The store opening pace in 2H will be significantly faster than in 1H.
- **Recent performance update**

  The overall table turnover rate in July remained flat yoy. However, excluding the impact of the difference in holiday days, the turnover rate showed a yoy improvement.
- **Franchising business update**

  Only 1 franchisee store opened in 1H24. The management expects more franchisee stores to be opened in 1H24.

## Key 2Q results data points:

The Group's 1H24 operating revenue grew by 13.8% yoy. Revenue from Haidilao restaurant operation grew by 13.8% yoy and accounted for 95% of total revenue, while delivery business and sales of condiment products and food ingredients accounted for 2.7% and 1.4% of total. Net profit increased by 10% yoy, affected by the net FX gain and loss and the termination of additional VAT deduction policy in Mainland China.

- **Store count**

  Store count in Mainland reduced by 31 during 1H24 to 1,320 stores. Including the business in Hong Kong, Macau, and Taiwan, the total number of stores recorded at 1,343 by 1H24.
- Overall **table turnover rate** improved from 3.3x in 1H23 to 4.2x in 1H24
  - Newly-opened restaurants: 4.6x
  - Other restaurants: 4.2x
- **Average spending per guest** (in RMB) declined from 102.9 in 1H23 to 97.4 in 1H24, and if by city tier:
  - Tier 1 cities: 104.1, vs 110.3 in 1H23
  - Tier 2 cities: 96.8, vs 101.8 in 1H23
  - Tier 3 cities: 91.4, vs 96.1 in 1H23
  - Outside Mainland China: 197.7, vs 205.5 in 1H23
- **Same store performance**
  - Number of same stores: 1,257 by the end of 1H24
  - Overall SSS grew by 15.3% yoy to RMB19.6bn
  - Average SSS per day grew to RMB86.1thousand from RMB75.2thousand
  - Average same store table turnover rate (times/day): 4.2, compared with 3.4 in 1H23
- **Cost and expense**
  - The raw material cost ratio decreased from 40.7% to 39%, benefiting from the purchasing price of raw materials and consumables.
  - Labour cost as a % of revenue increased from 30.5% to 33.3%, mainly due to the increase in staff salary and benefit, and also some position supplements.
  - Rental expense increased by 5.3% yoy due to the increase in the variable lease payments resulting from revenue growth, but the cost-to-revenue ratio was flat.
  - D&A expense decreased by 11.1%, as some restaurants has been fully charged previously; D&A as a % of revenue also dropped, from 8% in 1H23 to 6.2% in 1H24, resulting from the less D&A expense and increase in revenue.
- The Group proposed an **Interim DPS of HKD0.391** (1H23: nil), representing a payout ratio of 95%

Figure 1: Key operational data

| | 2022 | 2023 | 1H24 |
|---|---|---|---|
| **ASP (RMB)** | | | |
| Tier 1 City | 114.2 | 105.7 | 104.1 |
| Tier 2 City | 104.3 | 98.3 | 96.8 |
| Tier 3 City | 97.9 | 92.8 | 91.4 |
| Total PRC | 103.2 | 97.3 | 95.7 |
| HK, Macau and Taiwan | 197.4 | 202.8 | 197.7 |
| **Overall** | **104.9** | **99.1** | **97.4** |
| | | | |
| **Table turnover** | | | |
| Tier 1 City | 3.0 | 3.8 | 4.0 |
| Tier 2 City | 3.0 | 3.9 | 4.3 |
| Tier 3 City | 2.9 | 3.6 | 4.1 |
| Total PRC | 2.9 | 3.8 | 4.2 |
| HK, Macau and Taiwan | 3.5 | 4.2 | 4.2 |
| New restaurants | 2.3 | 3.7 | 4.6 |
| Existing restaurants | 3.0 | 3.8 | 4.2 |
| **Overall** | **3.0** | **3.8** | **4.2** |
| | | | |
| **Restaurant number** | | | |
| Tier 1 City | 234 | 232 | 226 |
| Tier 2 City | 538 | 538 | 530 |
| Tier 3 City | 577 | 581 | 564 |
| Total PRC | 1,349 | 1,351 | 1,320 |
| HK, Macau and Taiwan | 22 | 23 | 23 |
| **Total** | **1,371** | **1,374** | **1,343** |

*Sources: Company data, CMS (HK) estimates*

Figure 2: Earnings revision summary

| | New | | | Old | | | Diff (%) | | |
|---|---|---|---|---|---|---|---|---|---|
| **RMB mn** | **FY24E** | **FY25E** | **FY26E** | **FY24E** | **FY25E** | **FY26E** | **FY24E** | **FY25E** | **FY26E** |
| PRC ASP | 97.2 | 90.5 | 84.8 | 97.4 | 91.9 | 85.6 | -0.2% | -1.5% | -1.0% |
| Restaurant number | 1,413 | 1,493 | 1,603 | 1,444 | 1,574 | 1,754 | -2.1% | -5.1% | -8.6% |
| Revenue | 46,217 | 50,846 | 55,989 | 46,815.0 | 52,320.0 | 60,592 | -1.3% | -2.8% | -7.6% |
| EBITDA | 8,333 | 8,647 | 8,964 | 8,987 | 10,364 | 12,178 | -7.3% | -16.6% | -26.4% |
| EBIT | 5,397 | 5,276 | 5,578 | 5,980 | 6,908 | 8,538 | -9.8% | -23.6% | -34.7% |
| Net profit | 4,292 | 4,336 | 4,547 | 4,840 | 5,874 | 7,106 | -11.3% | -26.2% | -36.0% |
| EBITDA Margin | 18.0% | 17.0% | 16.0% | 19.2% | 19.8% | 20.1% | -1.2ppt | -2.8ppt | -4.1ppt |
| EBIT Margin | 11.7% | 10.4% | 10.0% | 12.8% | 13.2% | 14.1% | -1.1ppt | -2.8ppt | -4.1ppt |
| NPM | 9.3% | 8.5% | 8.1% | 10.3% | 11.2% | 11.7% | -1.1ppt | -2.7ppt | -3.6ppt |

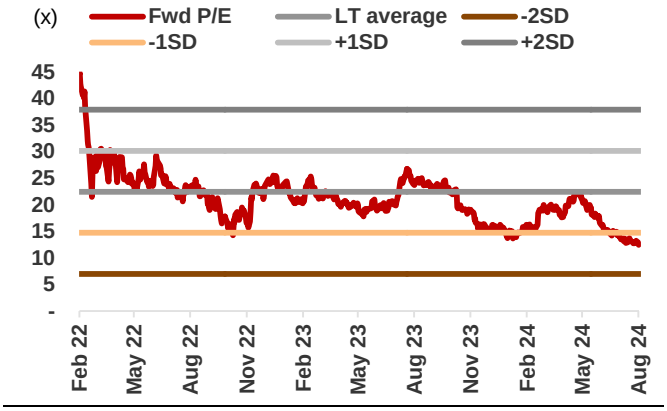
*Sources: Company data, CMS (HK) estimates*

Figure 3: CMS estimates vs. consensus

| | CMS | | | Consensus | | | Diff (%) | | |
|---|---|---|---|---|---|---|---|---|---|
| RMB mn | FY24E | FY25E | FY26E | FY24E | FY25E | FY26E | FY24E | FY25E | FY26E |
| Revenue | 46,217 | 50,846 | 55,989 | 46,153 | 49,432 | 52,072 | 0.1% | 2.9% | 7.5% |
| EBITDA | 8,333 | 8,647 | 8,964 | 8,869 | 9,594 | 9,909 | -6.0% | -9.9% | -9.5% |
| EBIT | 5,397 | 5,276 | 5,578 | 6,354 | 7,026 | 7,595 | -15.1% | -24.9% | -26.6% |
| Net profit | 4,292 | 4,336 | 4,547 | 4,907 | 5,476 | 5,852 | -12.5% | -20.8% | -22.3% |
| EBITDA Margin | 18.0% | 17.0% | 16.0% | 19.2% | 19.4% | 19.0% | -1.2ppt | -2.4ppt | -3ppt |
| EBIT Margin | 11.7% | 10.4% | 10.0% | 13.8% | 14.2% | 14.6% | -2.1ppt | -3.8ppt | -4.6ppt |
| NPM | 9.3% | 8.5% | 8.1% | 10.6% | 11.1% | 11.2% | -1.3ppt | -2.5ppt | -3.1ppt |

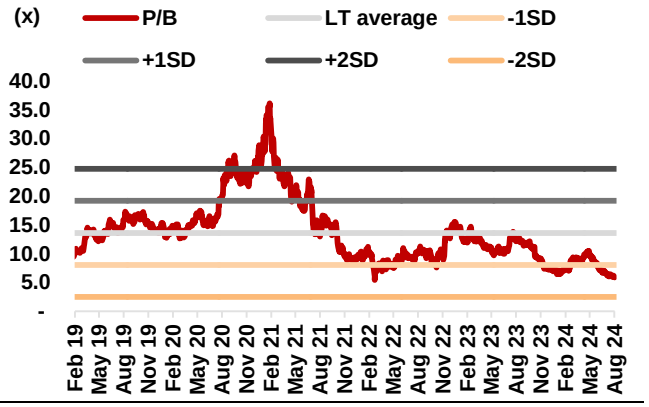
*Sources: Company data, Bloomberg, CMS (HK) estimates*

Figure 4: Forward P/E




*Sources: Bloomberg, CMS (HK)*

Figure 5: Historical P/B




*Sources: Bloomberg, CMS (HK)*

# Financial statement

## Balance Sheet

| RMB mn | 2022 | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|---|
| PP&E | 5,645 | 3,255 | 3,025 | 2,024 | 1,209 |
| Right of use assets | 3,866 | 3,208 | 3,209 | 2,377 | 1,843 |
| Goodwill | 85 | 85 | 85 | 85 | 85 |
| Investment in associate/JV | 257 | 220 | 220 | 220 | 220 |
| Other non-current assets | 1,080 | 1,914 | 1,908 | 1,908 | 1,905 |
| **Non-current assets** | **10,933** | **8,683** | **8,448** | **6,614** | **5,262** |
| Inventories | 1,142 | 819 | 1,102 | 1,251 | 1,429 |
| Receivables and prepayments | 1,957 | 1,481 | 2,019 | 2,234 | 2,491 |
| Financial assets at FVTPL | 408 | 1,163 | 1,163 | 1,163 | 1,163 |
| Deposits | 25 | 25 | 25 | 25 | 25 |
| Bank Balances and Cash | 6,621 | 11,682 | 7,416 | 13,860 | 17,607 |
| Other current assets | 354 | 1,521 | 1,521 | 1,521 | 1,521 |
| **Current assets** | **10,507** | **16,690** | **13,246** | **20,054** | **24,235** |
| **Total assets** | **21,439** | **25,373** | **21,694** | **26,668** | **29,497** |
| Account Payable | 2,798 | 3,469 | 4,345 | 4,931 | 5,633 |
| Due to Related Parties | 231 | 286 | 286 | 286 | 286 |
| Bank Borrowings | 2,341 | 294 | 294 | 1,500 | 1,500 |
| Other current liabilities | 1,863 | 6,368 | 1,840 | 1,952 | 2,110 |
| **Current liabilities** | **7,232** | **10,418** | **6,765** | **8,669** | **9,529** |
| Deferred Tax Liabilities | 158 | 119 | 18 | 18 | 20 |
| Lease Liabilities | 4,296 | 3,270 | 3,713 | 3,768 | 3,886 |
| Bank Borrowing | 215 | - | - | - | - |
| Other Borrowing | 17 | 0 | 0 | 0 | 0 |
| Provision and other liabilities | 2065 | 2026 | 2028 | 2028 | 2029 |
| **Non-current liabilities** | **6,751** | **5,416** | **5,759** | **5,814** | **5,934** |
| **Total liabilities** | **13,983** | **15,834** | **12,524** | **14,483** | **15,463** |
| Share Capital | 0 | 0 | 0 | 0 | 0 |
| Reserves | 7,443 | 9,553 | 10,515 | 13,540 | 15,399 |
| Non-controlling interests | 13 | -14 | -19 | -29 | -39 |
| **Total equity** | **7,456** | **9,539** | **10,496** | **13,511** | **15,360** |
| **Total equity and liabilities** | **21,439** | **25,373** | **23,020** | **27,994** | **30,823** |

## Cashflow Statement

| RMB mn | 2022 | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|---|
| Profit before tax | 2,118 | 5,043 | 5,867 | 5,768 | 5,826 |
| Finance Costs | 474 | 420 | 264 | 305 | 323 |
| Interest Income | -26 | -36 | -39 | -39 | -39 |
| Shares of profit of associate/JV | -65 | -54 | -61 | -57 | -57 |
| D&A | 3,321 | 2,913 | 2,936 | 3,371 | 3,359 |
| Changes in OWC | 564 | 1,549 | -37 | 322 | 195 |
| Income tax paid and others | -474 | -663 | -1,780 | -1,440 | -1,450 |
| **CF from operating activities** | **5,911** | **9,171** | **7,151** | **8,231** | **8,157** |
| Capital expenditure | -6,317 | -2,084 | -886 | -1,460 | -1,600 |
| Investments | 0 | 0 | 0 | 0 | 0 |
| Others | 382 | -91 | 121 | 84 | 82 |
| **CF from investing activities** | **-5,935** | **-2,175** | **-765** | **-1,376** | **-1,518** |
| Dividend paid | -550 | 38 | -3,230 | -1,301 | -2,615 |
| Equity financing | 0 | -401 | -2,067 | 0 | 0 |
| Debt financing (repaid) | -1,041 | -1,924 | -408 | 1,206 | 1 |
| Others | -600 | -753 | -1,159 | -315 | -333 |
| **CF from financing activities** | **-2,191** | **-3,040** | **-6,865** | **-411** | **-2,946** |
| **Net cash flow** | **-2,215** | **3,956** | **-479** | **6,444** | **3,693** |

## Profit & Loss

| RMB mn | 2022 | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|---|
| **Revenues** | **31,039** | **41,453** | **46,217** | **50,846** | **55,989** |
| Raw materials cost | -12,906 | -16,946 | -18,154 | -20,475 | -22,853 |
| Staff Costs | -10,240 | -13,040 | -15,563 | -17,190 | -19,113 |
| Property rentals | -274 | -362 | -418 | -435 | -463 |
| Utilities | -1,048 | -1,374 | -1,612 | -1,733 | -1,990 |
| Travel and others | -1,506 | -1,815 | -2,138 | -2,366 | -2,606 |
| **EBITDA** | **5,064** | **7,916** | **8,333** | **8,647** | **8,964** |
| D&A | -3,321 | -2,945 | -2,936 | -3,371 | -3,387 |
| **EBIT** | **1,743** | **4,970** | **5,397** | **5,276** | **5,578** |
| Finance costs | -474 | -351 | -264 | -305 | -326 |
| Other income/expenses | 848 | 1,214 | 734 | 797 | 797 |
| Profit before tax | **2,118** | **5,833** | **5,867** | **5,768** | **6,049** |
| Income tax expense | -480 | -1,338 | -1,585 | -1,442 | -1,512 |
| **Net profit** | **1,637** | **4,495** | **4,282** | **4,326** | **4,537** |
| Non-controlling interest | 1 | 4 | 10 | 10 | 10 |
| **Attributable net profit** | **1,374** | **4,499** | **4,292** | **4,336** | **4,547** |
| Diluted EPS (RMB) | 0.25 | 0.83 | 0.79 | 0.80 | 0.84 |
| DPS (RMB) | 0.10 | 0.75 | 0.60 | 0.24 | 0.48 |

## Financial Ratio

| | 2022 | 2023 | 2024E | 2025E | 2026E |
|---|---|---|---|---|---|
| **yoy growth rate** | | | | | |
| Revenue | -24.5% | 33.6% | 11.5% | 10.0% | 10.1% |
| EBITDA | 16.0% | 56.3% | 5.3% | 3.8% | 3.7% |
| Operating profit | -1046.8% | 185.1% | 8.6% | -2.2% | 5.7% |
| Net profit | -133.0% | 227.3% | -4.6% | 1.0% | 4.9% |
| EPS | -132.4% | 227.3% | -4.6% | 1.0% | 4.9% |
| **Profitability** | | | | | |
| EBITDA margin | 16.3% | 19.1% | 18.0% | 17.0% | 16.0% |
| EBIT margin | 5.6% | 12.0% | 11.7% | 10.4% | 10.0% |
| Net margin | 4.4% | 10.9% | 9.3% | 8.5% | 8.1% |
| **Liquidity** | | | | | |
| AR days | 29.9 | 15.1 | 13.8 | 15.3 | 15.4 |
| Inventory days | 36.7 | 21.1 | 19.3 | 21.0 | 21.4 |
| AP days | 46.2 | 30.1 | 34.3 | 36.9 | 37.6 |
| Cash conversion cycle | 20.5 | 6.2 | -1.1 | -0.6 | -0.8 |
| **Cash flow & leverage** | | | | | |
| Free cash low | -1,084 | 6,208 | 5,953 | 6,190 | 6,138 |
| Net debt to equity | -54.0% | -119.4% | -67.9% | 0.0% | 0.0% |
| Dividend payout ratio | 40.0% | 90.3% | 75.2% | 30.0% | 30.0% |
| Dividend yield | 1.0% | 6.8% | 5.3% | 2.1% | 4.3% |
| **Return analysis** | | | | | |
| ROE | 21.3% | 52.9% | 42.7% | 36.0% | 31.4% |
| Asset turnover | 1.3 | 1.8 | 2.0 | 2.1 | 2.0 |
| Net margin | 5.3% | 10.8% | 9.3% | 8.5% | 8.1% |
| Financial leverage | 3.2 | 2.8 | 2.3 | 2.0 | 1.9 |
| ROIC | 6.6% | 19.2% | 18.2% | 17.9% | 16.2% |
| **Valuation ratios** | | | | | |
| P/E | 47.7x | 14.6x | 15.3x | 15.1x | 14.4x |
| P/B | 8.2x | 6.4x | 5.8x | 4.5x | 4.0x |

*Sources: Company data, CMS (HK) estimates*

# Investment Ratings

| Industry Rating | Definition |
|---|---|
| OVERWEIGHT | Expect sector to outperform the market over the next 12 months |
| NEUTRAL | Expect sector to perform in-line with the market over the next 12 months |
| UNDERWEIGHT | Expect sector to underperform the market over the next 12 months |

| Company Rating | Definition |
|---|---|
| BUY | Expect stock to generate 10%+ return over the next 12 months |
| HOLD | Expect stock to generate +10% to -10% over the next 12 months |
| SELL | Expect stock to generate loss of 10%+ over the next 12 months |

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